You will notice that so far I have not mentioned anything about your age, your gender, your marital status, or even your health. The calculation of the mathematical ratio between your wealth and your income gap doesn't depend on any of these demographic factors.

Now you are ready for some general recommendations. Please don't take this as investment advice, but rather as a blueprint for discussion.

TABLE 11.2 The Two Dimensions of Retirement Income Risk Management: How Much Wealth Do You Have to Finance Your Income Gap?

Retirement At Age 65	Income Gap <= 10%	Income Gap = +/– 25%	Income Gap = +/– 50%	Income Gap >= 80%
Wealth / Gap >=35	*A+*	*A*	*B+*	*B*
Wealth / Gap +/–25	*B*	*C*	*C–*	*C–*
Wealth / Gap +/–20	*C*	*D*	*D–*	*D–*
Wealth / Gap +/–15	*D+*	*E*	*E*	*E*
Wealth / Gap <= 10	*E*	*F*	*F*	*F*

Grade Legend:

A: You are in great shape. Don't worry about insuring any retirement risks. You can finance your income gap using a systematic withdrawal plan. However, make sure to invest your nest egg in a portfolio of diversified stocks and some inflation-adjusted bonds, and then periodically withdraw your income needs.

B: You are in good shape, although you might want to consider allocating a token 5% to 10% of your nest egg to protect against longevity risk, either using an immediate annuity or a variable annuity with a guaranteed living income benefit, especially if you are not willing to consider your personal residence as an eventual retirement income vehicle.

C: You should have enough, but you might consider allocating 10% to 20% to one of the many pension-like annuity instruments to help manage retirement risks, especially longevity risk. The exact amount would depend on the strength of your bequest motives, or how much of your financial estate you would like to leave to the next generation.

D: You are at the lower edge of income sustainability. This is where product allocation is most important and has the greatest impact. You should consider allocating 20% to 40% to annuity products with an emphasis on instruments that protect against longevity risk and the risk of sequence of returns.

E: It's going to be very tight. That said, you might want to consider allocating 10% to 20% of your wealth to some sort of annuity instrument with insurance against longevity risk and sequence of returns, especially if there is no flexibility in your spending. You might want to delay retirement for a few years.

F: Not good. At some point during your retirement, you will be forced to reduce your standard of living. You should consider delaying retirement for a few years. Don't try to gamble or speculate your way out of this problem.

As you can see from the table, for those retirees and near-retirees who have 90% of their income guaranteed from pensions plus Social